

SECTION A – CASE QUESTIONS (Total 50 marks)

Answer ALL of the following questions. Marks will be awarded for logical argumentation and appropriate presentation of the answers.

CASE

EGVU Lighting Limited (“ELL”) is a private entity which is incorporated in Hong Kong. Its principal business is the manufacturing and sales of LED lights.

ELL leases factory premises in Mainland China and purchases machines under finance lease arrangements for the manufacturing of LED lights. ELL also leases a warehouse in Hong Kong for storage of excess raw materials and finished goods. The manufacturing process of LED lights requires both machinery assistance and labour forces. Generally, it takes four weeks to complete a job order under full utilisation. LED chip is ELL’s major raw material which is also the highest value item among all of its raw materials. ELL sources LED chips from overseas suppliers and other raw materials from Mainland China suppliers. ELL recruits approximately 2,000 workers in its factory.

During the year, the demand for LED lights has increased. To meet the rising demand, ELL has started subcontracting some of its production orders to third party subcontractors in Mainland China. Under these subcontracting arrangements, ELL is responsible for the supply of raw materials. The subcontractors are responsible for recruiting labour and providing factory premises and machinery for the manufacturing process.

Each subcontractor will enter into a subcontracting agreement with ELL to agree the terms of the subcontracting arrangement. Subcontracting fees are charged based on two components – (i) an agreed mark-up on the actual labour cost incurred by the subcontractors and (ii) a fixed monthly fee for the rental of machinery and factory premises provided by the subcontractors.

The labour cost mark up and the fixed monthly fee are determined by the respective parties. The actual labour cost will be determined based on the actual incurred amounts reported by the subcontractors. ELL continues to own the titles of the raw materials, work-in-progress and finished goods throughout the manufacturing process, though these inventories are located at the subcontractors’ premises.

Although the sales of ELL increased during the current year, the gross margin has dropped because the subcontracting arrangement is relatively less efficient when compared to ELL's self-manufacturing. Even worse, a higher wastage was noted when production was conducted by the subcontractors. Accordingly, ELL has purchased more LED chips to prepare for the increased consumption of raw materials at the year end date.

To finance the increasing demand for working capital, a five-year term loan was arranged with a bank during the year. In accordance with the loan agreement, ELL is required to maintain a current ratio of greater than "1" for each financial year until the loan is fully repaid. If ELL does not meet this condition, an immediate repayment of the loan could be demanded by the bank.

Management considered that the subcontracting arrangement cannot resolve the issue of increasing demand for LED lights in the long term, and therefore decided to acquire a piece of land to construct a new factory premise. The land was financed by additional capital injection by ELL's existing shareholders.

ABC & Co is the auditor of ELL, auditing its financial statements for the year ended 31 December 2018.

During the audit planning, the audit team observed significant changes in ELL. Below are the excerpts of the work papers prepared by the audit team.

Internal control

"...During the year, ELL lost a few key accounting staff. Vacant positions have not been filled. Accordingly, each existing accounting staff has to take care of a few functions within the accounting process. In particular, the trade payable clerk who is responsible for the recording of purchases and trade payables is now also responsible for issuing cheque payments to ELL's creditors. A lack of segregation of duty is noted."

Overview of ELL's production costs

The following information represents the significance of cost components attributable to ELL's production costs.

	<u>2018</u>	<u>2017</u>
Raw materials	55%	70%
Direct labour costs	15%	20%
Overhead costs	8%	10%
Subcontracting fees	22%	-
Total	<u>100%</u>	<u>100%</u>

Overview of ELL's trade payables at the year end date

The following information represents the significance of ELL's creditors attributable to its trade payables at the year end date.

	<u>2018</u>	<u>2017</u>
Suppliers of LED chips	60%	75%
Other local suppliers	13%	20%
Subcontractors	24%	-
Logistic companies and others	3%	5%
Total	<u>100%</u>	<u>100%</u>

Overview of ELL's inventories at the year end date

The following information represents the significance of different forms of ELL's inventories at the year end date.

	<u>2018</u>	<u>2017</u>
Raw materials	35%	20%
Work-in-progress	30%	30%
Finished goods	25%	50%
Goods-in-transit	10%	-
Total	<u>100%</u>	<u>100%</u>

Question 1 (15 marks – approximately 27 minutes)

The audit team is currently preparing the audit plan for ELL's purchases, trade payables and subcontracting fees.

Required:

- (a) Identify any fraud risk which would cause material misstatements of ELL's purchase and trade payable process.
(2 marks)
- (b) Evaluate the control risk of material misstatements in ELL's purchase and trade payable process.
(3 marks)
- (c) Evaluate the risk of material misstatements of ELL's subcontracting fees in terms of accuracy assertion.
(5 marks)
- (d) Propose substantive procedures to audit the completeness of ELL's trade payables at the year end date.
(5 marks)

Question 2 (15 marks – approximately 27 minutes)

Inventories are material to ELL's financial statements as at 31 December 2018. On 31 December 2018, ELL arranged a full count of its inventories located at its warehouse and factory premises. On the same day, ABC & Co sent its audit team to observe ELL's inventory count and performed test counts of certain inventory items.

Required:

- (a) Propose procedures that the audit team should perform during the observation of ELL's inventory count on 31 December 2018.
(5 marks)
- (b) Identify and explain which type(s) of inventory items kept by ELL that the audit team should perform a test count. Advise how to perform a test count procedure.
(3 marks)
- (c) Other than the inventories which were kept in the ELL's warehouse and factory premises, identify any other inventories that ELL had recorded at the year end date. Given the fact that no inventory count for these inventories was arranged by ELL, advise measures or procedures that the audit team could perform in order to obtain reliable evidence to confirm their existence.
(7 marks)

Question 3 (10 marks – approximately 18 minutes)

ELL had recorded a bank loan and finance lease payables in its 2018 financial statements. Both the bank loan and finance lease payables were classified and presented as non-current liabilities, with a current portion of finance lease payables being classified as current liabilities. The principal of the bank loan is repayable by 2023 and interest is repayable on a bi-annual basis. The finance leases are repayable by monthly instalments until 2022.

Required:

- (a) Propose procedures to audit the classification and presentation assertions of (i) bank loan and (ii) finance lease payables.

(5 marks)

- (b) Propose procedures to audit the accuracy and completeness assertions of interest expenses recorded by ELL relating to its (i) bank loan and (ii) finance leases.

(5 marks)

Question 4 (10 marks – approximately 18 minutes)

ELL had a piece of land and certain construction-in-progress which were recorded as non-current assets in its financial statements as at 31 December 2018. The construction-in-progress represented the construction materials purchased and the wage payables to the workers for the construction of ELL's new factory premises. Although the construction had been commenced before the year end date, the land certificate was not yet issued by the local land bureau. ELL did not have any official documents to prove that it had the rights and obligation to that piece of land at the year end date.

Required:

- (a) Explain the audit objective of the rights and obligation assertions. In view of the specific situation faced by ELL, propose procedures to audit these assertions of the land at the year end date.

(5 marks)

- (b) Propose procedures to audit ELL's construction-in-progress at the year end date.

(5 marks)

* * * * *

End of Section A

SECTION B – ESSAY / SHORT QUESTIONS (Total 50 marks)

Answer ALL of the following questions. Marks will be awarded for logical argumentation and appropriate presentation of the answers.

Question 5 (10 marks – approximately 18 minutes)

Chemical Green Limited (“Chemical Green”) is a family business specialising in chemical trading and distribution. John Wong has been the Chairman and the Chief Executive Officer of Chemical Green for decades since Chemical Green was set up twenty years ago. Joe Wong, brother of John, is the Chief Operation Officer (“COO”) of Chemical Green. Elizabeth Wong, daughter of John, is the Chief Financial Officer of Chemical Green. Both Joe and Elizabeth report to John. The board of directors of Chemical Green consists of three executive directors who are John, Joe and Elizabeth. John determines the remuneration of Joe, Elizabeth and himself.

Chemical Green has plans to list on the Hong Kong Stock Exchange in the coming one or two years. For preparation of the listing, an internal audit team was set up six months ago and reports to the COO. In a recent surprise count carried out by the internal audit team, inventories of HK\$5 million, representing 15% of the total inventories, were found lost. The COO has been directing the investigation relating to the inventory loss.

Required:

- (a) **Advise five improvement recommendations to Chemical Green in accordance with the corporate governance requirements in Hong Kong.**
(5 marks)
- (b) **Assume Chemical Green became a listed company in Hong Kong and an audit committee was set up by Chemical Green, propose actions of the audit committee in discharging its corporate governance responsibilities in relation to the inventory loss.**
(5 marks)

Question 6 (13 marks – approximately 23 minutes)

- (a) Susana is the Chief Financial Officer and Executive Director of Company Y, which is a listed company in Hong Kong. She has a plan to purchase 1,000,000 shares of Company Y in the market.

(2 marks)

- (b) XYZ & Co is the auditor of Company Y. Company Y has invited XYZ & Co to participate in an advisory project proposal relating to operational effectiveness and efficiency review. The audit team and the advisory team are two separate teams with different reporting lines within XYZ & Co. The audit team would like to give Susana an expensive festive hamper while the advisory project is under tendering. The total non-audit fees will double the audit fees for the year if the advisory project is accepted.

(6 marks)

- (c) Peter, is the manager-in-charge of Company Y's audit, has been working closely with Company Y on a significant spin off project recently. Peter unconsciously mentioned certain details of the spin off project to one of his friends but did not disclose the name of Company Y. Peter is a social media addict and always shares his working location on his social media account.

(5 marks)

Required:

Analyse and explain any ethical and professional issues in each of the above situations and advise the possible safeguards.

Question 7 (12 marks – approximately 22 minutes)

Company E is a newly acquired subsidiary of Company Z. The current operation and finance system of Company Z, named AI, is self-developed by the IT team of Company Z. Company E currently uses a packaged software purchased from the market, named HoEasy, for daily operation.

There is a plan that Company E will convert its system from HoEasy to a modified version of AI that will be developed by Company Z's IT team with user inputs provided by Company E.

Required:

- (a) Explain the differences between bespoke software and off-the-shelf software in terms of the following areas:
- (i) Control procedures
 - (ii) Data and file structures
 - (iii) Ongoing maintenance
 - (iv) Customisation
- (4 marks)
- (b) Based on the information provided in the case, state whether AI and HoEasy is bespoke or off-the-shelf software.
- (2 marks)
- (c) Advise six internal controls that should be in place to oversee the conversion of Company E's finance system from HoEasy to AI.
- (6 marks)

Question 8 (15 marks – approximately 27 minutes)

Fast Growth Limited (“Fast Growth”) was incorporated in Hong Kong in 2016. The principal business of Fast Growth is the trading and manufacturing of high performance gaming hardware, software and systems.

During the year ended 2018, the revenue and operating costs of Fast Growth grew by 5 times and 20 times, respectively. While Fast Growth benefited from the rapid growth of the gaming industry, its research and development expenditure was huge.

As at 31 December 2018, Fast Growth incurred net losses of HK\$8 million and its current liabilities exceeded its current assets by HK\$10 million. The current liabilities of HK\$20 million mainly represented a loan from a bank which will mature in November 2019.

Management of Fast Growth has prepared a cash flow forecast up to 31 December 2019 and drafted certain disclosures in the financial statements explaining the uncertainty relating to going concern and management’s plan to address the uncertainty. Based on their forecast, management is confident that the use of the going concern basis of accounting in preparing the financial statements is appropriate. Management explained the following:

- Forecasted net profit of 2019 approximates HK\$20 million
- They are in discussion with the bank to roll over the HK\$20 million loan for one year. There is currently no indicator that the roll over is not possible
- Management expects that there will be an additional HK\$10 million fund from a venture capital available in February 2019

Required:

(a) Assume you are the auditor of Fast Growth for the year ended 31 December 2018, propose audit procedures in evaluating the appropriateness of the management’s use of the going concern basis of accounting in the preparation of the financial statements by Fast Growth.

(8 marks)

(b) Assume there is no significant audit findings identified during the audit and the conclusion of the management’s use of going concern basis of accounting assumption is appropriate, prepare the sections on the auditor’s opinion, basis of opinion and material uncertainty related to going concern in the auditor’s report.

(7 marks)

* * * END OF EXAMINATION PAPER * * *